Subject Code	AF5380
Subject Title	Finance
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	Exclusion: Principles of Corporate Finance (AF5312) / Managerial Finance (AF5326) / Finance for Executives (AF5327) / Financial Management for Executives (AF5367) / Corporate Finance for Executives (AF5331)
Objectives	This MBA subject aims to equip students with concepts and principles of modern corporate finance, and enable students to apply finance principles and techniques to address real-life complex managerial problems (Outcome 1). This practical subject also enables students to understand the most recent finance issues from a general management perspective and help them develop tools for making optimal corporate financial policy decisions (Outcome 4).
Intended Learning Outcomes	On successfully completing this subject, students will be able to a. Explain key principles in finance including risk-return tradeoff, asset pricing, and the cost of capital. b. Explain relevant finance principles for investment, financing and payout decisions. c. Evaluate the types of securities issued and traded in financial markets, and how these can be used for raising funds. d. synthesize and apply the various finance concepts, tools and analytical frameworks to solve multi-faceted business problems. e. Illustrate the role of data science and technology in financial management.
Subject Synopsis/ Indicative Syllabus	**Objectives and Functions of Corporate Financial Management** Goals of the corporation; the agency problem and the control of the corporation; solutions to stockholder-manager conflicts; regulations. **Principles of Valuation** Time value of money; compounding and discounting; bond features and bond types; inflation and interest rates; bond valuation; the present value of common stocks; valuation comparables.

	Valuation and Capital Budgeting Discounted cash flow model; valuation and capital budgeting for the levered firm; the adjusted prevent value (APV) approach; the flow to equity (FTE) approach; the WACC approach. **Investment Concepts and Theory** Risk and Return Measures; Capital Asset Pricing Model; Concept and benefits of portfolio diversification; Efficient Market Hypothesis; Behavioral challenges to market efficiency. **Long-term Equity and Debt Financing** Equity issuance methods; initial public offerings (IPOs) and the costs of going public; the underpricing of IPOs; secondary offerings and the impact of dilution; features of common and preferred stock; bond classifications and required yields. **Capital Structure** Theories of capital structure; Modigliani and Miller propositions; optimal capital structure; the agency costs of debt; real world factors that affect the debt to equity ratio; financial distress costs. **Dividends and Other Payouts** Different types of corporate payouts; MM dividend policy irrelevance proposition; real-world factors that shape the payout policy and the signaling role of dividends. **Mergers and Acquisitions** Merger motives and types of acquisitions; synergy and value of the merged firm; sources of synergy; defensive tactics.
Teaching/Learning Methodology	The subject is structured around lectures/seminars, supplemented by exercises within class. Case studies are used extensively to enable students to synthesize finance concepts and apply professional judgement to solve complex business problems. Reading materials and lectures are designed to clarify and explain the background ideas related to a particular case. Students are urged to prepare themselves well for each class and to proactively interact with both the instructor and other students.

Assessment Methods in Alignment with Intended Learning Outcomes	(see below)

Specific assessment methods/tasks	% weighting	a	b	c	d	e
1. Summary of papers/presentations/ class discussions	20%	✓	✓	✓	✓	✓
2. Quiz	15%	✓	✓	✓		✓
3. Group case assignments	40%	✓	✓	✓	✓	✓
4. Individual case assignments	25%				✓	
Total	100%					

Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes:

Students will develop critical thinking and decision-making skills in financial analysis (Outcome 1) through their effort in preparing for the term quiz (item 2) and by conducting analyses in the complex case problems when completing the individual case assignments (item 4). Meanwhile, students will develop effective communication skills (Outcome 4) through class presentations and discussions(item 1). In addition, analyzing the case assignment in groups (item 4) also enable students to communicate effectively in groups.

To reflect the significant technology content in this subject, 10% (or more) of the overall weighting of this subject is based on individual assessment concerning technology-related knowledge.

Student Study Effort Expected	Class contact:		
	▪ Lectures & case studies		39 Hrs.
	Student study effort:		
	▪ Reading materials		45 Hrs.
	▪ Quiz/ Individual Assignment		45 Hrs.
	Total student study effort		129 Hrs.
Reading List and References	***Textbook*** *Ross, Westerfield, Jaffe and Jordan, Corporate Finance, (12th Edition), McGraw-Hill. (ISBN10: 1259918947 | ISBN13: 9781259918940)* *Brealey, Myers, and Allen, (13th Edition), Principles of Corporate Finance, McGraw-Hill. (ISBN10: 1260013901 | ISBN13: 9781260013900)* Selected cases from Harvard Business School and Ivey Business School, and various articles from academic and practitioner journals and news articles		